ABFM Module C Concept Unit wise marathon :

Valuation, Merger & Acquisitions

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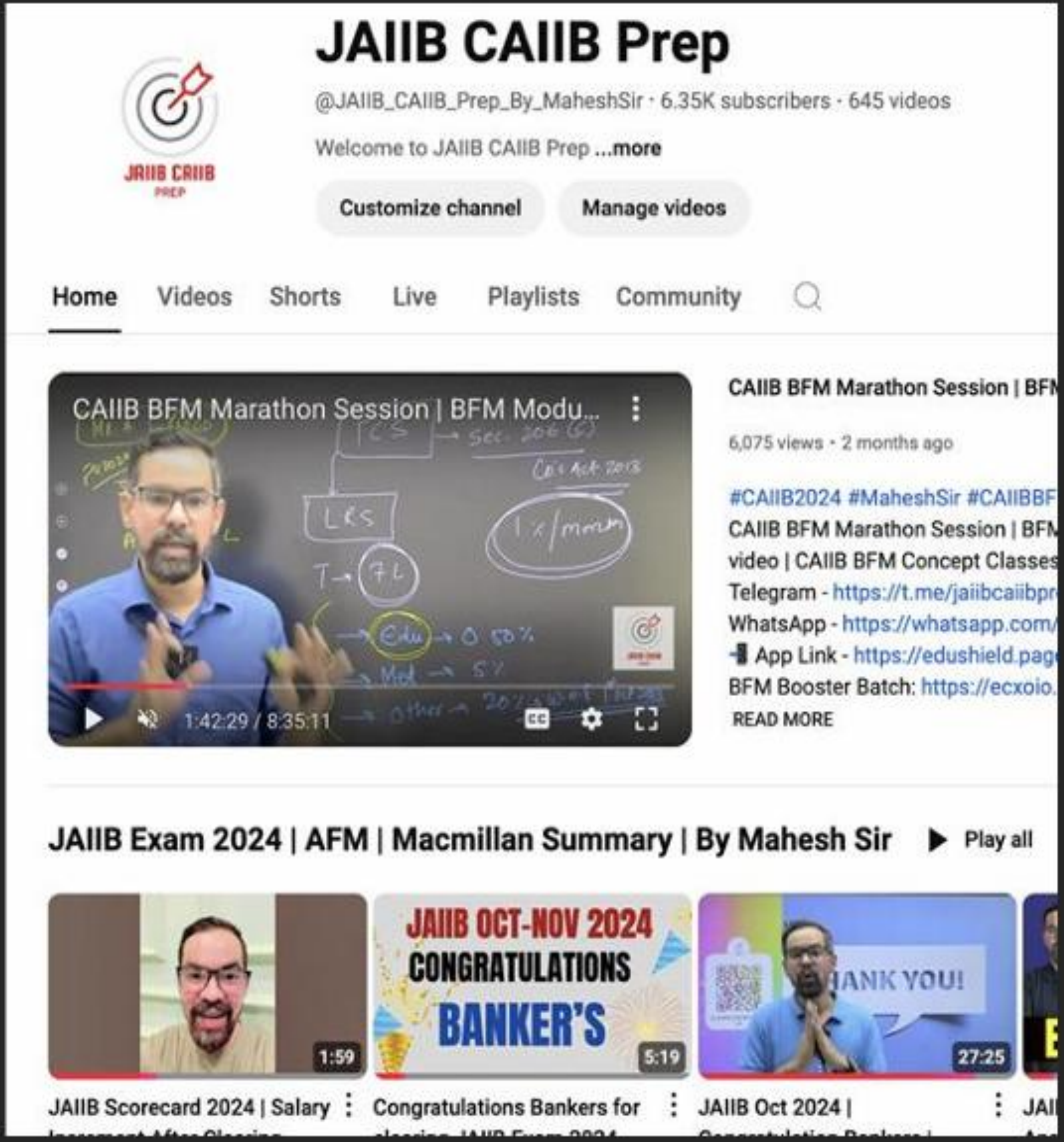

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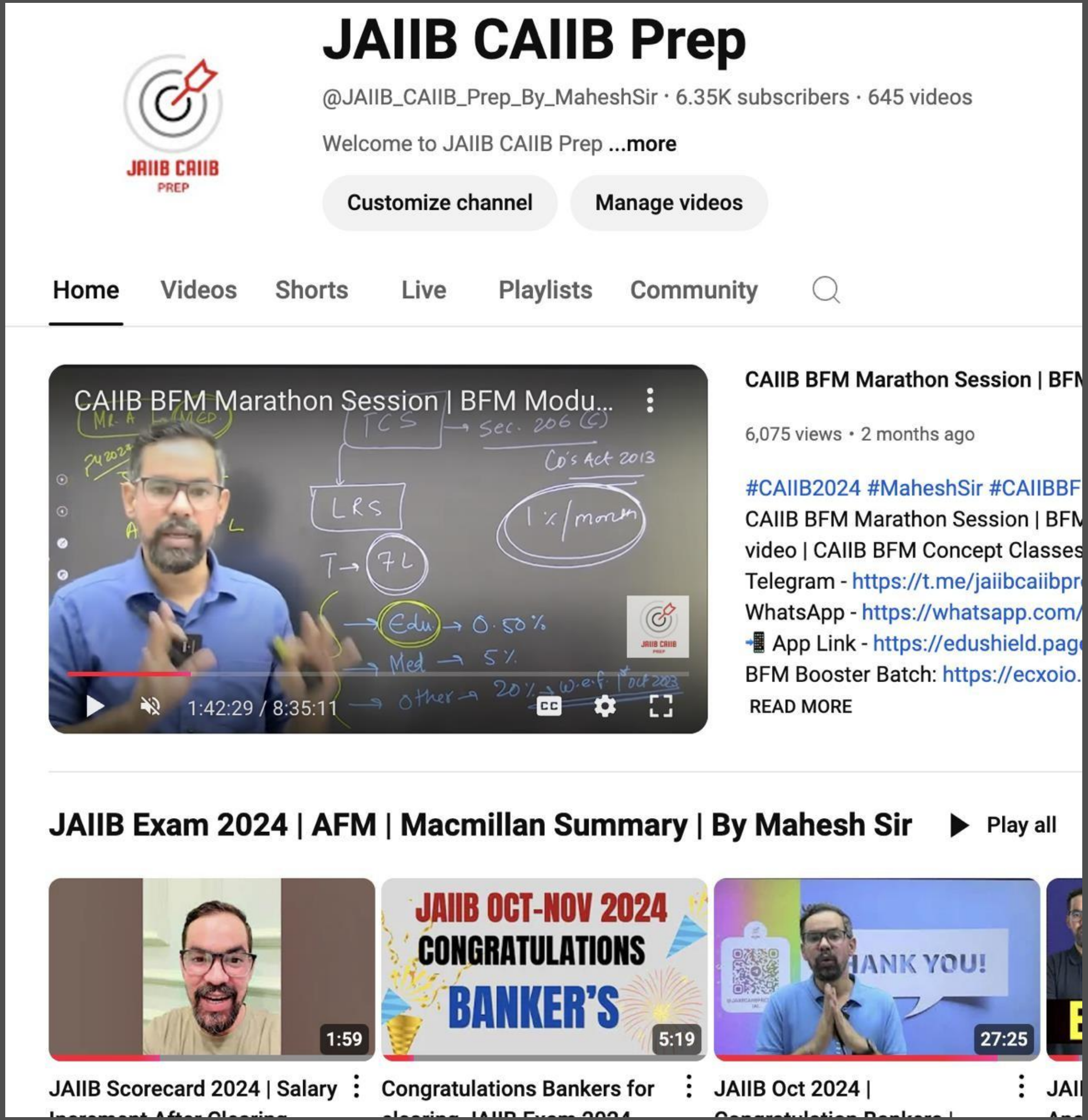

MODULE – C

VALUATION, MERGERS & ACQUISITIONS

UNIT 13

CORPORATE VALUATION

STRUCTURE

13.0 Objectives

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13.3 Adjusted Book Value Approach

13.4 Stock and Debt Approach

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Let Us Sum Up

Corporate valuation is the process of determining the value of a business entity, essential for various financial and strategic purposes. Corporate valuation enables management to assess the **impact of strategies on the firm's value, ensuring alignment with shareholder value creation.** It has gained prominence due to factors like globalization, mergers and acquisitions, employee stock options, and regulatory needs.

- ✓ Business valuation determines **the economic value** of a business or business unit.
- ✓ Business valuation can be used to determine a **business's fair value for various reasons, including sale value, establishing partner ownership, taxation, and even divorce proceedings.**
- ✓ Business valuation methods include looking at **market cap, earnings multipliers, or book value.**

A business valuation typically includes an analysis of the company's:

- ✓ **Management**
- ✓ **Capital structure** Equity : Debt
- ✓ **Future earnings prospects**
- ✓ **Market value**
- ✓ **Assets and liabilities**

Corporate valuation involves understanding the two main types of value:

(a) Book Value: Derived from the company's balance sheet, it reflects the value of assets or the business as recorded in financial statements.

(b) Market Value: Determined by market analysis, it is calculated as the share price multiplied by the number of outstanding shares. It represents equity value, factoring in shareholders' assessment.

xyz Co.

CMP → 100

share → 5cr

A more comprehensive measure is **Enterprise Value,** which accounts for equity value, debts, obligations, and non-operating liabilities while subtracting cash and equivalents.

"Debts and other obligations" refer to various financial responsibilities a company has, such as short-term and long-term debts, the portion of long-term debts due soon, capital lease obligations, preferred securities, non-controlling interests, and other liabilities that don't directly relate to operations (like unallocated pension funds).

To calculate **Enterprise Value (EV),** use the following formula:

- Start with the **equity value** (the value of shareholders' ownership).
- Add:
  - ✓ **Short-term debts** (like loans due within a year),
  - ✓ **Long-term debts** (loans due after a year),
  - ✓ The **current portion of long-term debts** (payments due soon from long-term loans),
  - ✓ **Capital lease obligations** (lease payments treated like debt),
  - ✓ **Preferred securities** (similar to shares but have fixed payments),
  - ✓ **Non-controlling interests** (the portion of a subsidiary owned by others),
  - ✓ **Other non-operating liabilities** (e.g., pension fund obligations).
- Subtract **cash and cash equivalents** (as they can offset these liabilities).

+

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APPROACHES TO CORPORATE VALUATION

The **IVS 105 Valuation Approaches and Methods** outline three primary methodologies based on economic principles:

(a) Market Approach

- Values an asset or business by **comparing it with recent transactions or similar entities in the market.**
- Considers size, quality, and other characteristics of comparable assets.
- Particularly useful for determining worth based on external market activity.

(b) Income Approach

- Estimates the current value of a business by **discounting expected future earnings or cash flows.**
- Often involves **Net Operating Income (NOI)** divided by the capitalization rate.
- Focuses on the anticipated benefits of ownership.

(c) Cost Approach

- Also known as **the asset-based approach**, it evaluates value by calculating the FMV of net assets (assets minus liabilities).
- Useful for asset-heavy businesses, holding companies, or distressed entities.
- Can be divided into **cost to build** and **cost to replace** methodologies.

Each method involves specific application procedures, and the choice depends on:

- ✓ **Valuation Basis**: Purpose of valuation and suitable methods.
- ✓ **Advantages/Disadvantages**: Relative merits of each method.
- ✓ **Market Practices**: Relevance based on industry norms.
- ✓ **Data Availability**: Reliability and sufficiency of information.

Additional Methods for Firm Valuation

1. Adjusted Book Value Approach

Modifies book values based on the FMV of assets and liabilities.

2. Stock and Debt Approach

Considers the market value of equity and debt to assess total value.

3. Direct Comparison Approach

Uses comparable market data to estimate value.

4. Discounted Cash Flow (DCF) Approach

Calculates value based on the present value of projected future cash flows, discounted at an appropriate rate.

5Cr E + D 2Cr ₹7Cr

Stock and Debt Approach

- This method values a company by adding the **current market value of all its outstanding equity and debt securities.** It's simple and used when securities are publicly traded.
- **Market Efficiency Assumption**: Assumes that market prices reflect the true intrinsic value of assets, making them reliable for valuation.
- **Example**:
  - On **31st March 2022**, Seashore Limited had:
    - ✓ 15 lakh shares at ₹50/share → **Equity value = ₹7.50 crore**
    - ✓ Outstanding debt = ₹15 crore with market valuation = **₹14.80 crore**
  - **Total valuation = ₹7.50 crore + ₹14.80 crore = ₹22.30 crore**
- **Controversy:**
  - Debate exists over whether to use **current market price** or an **average price over time** (due to stock price volatility).
  - Some appraisers suggest using the **lien date** or **averaged prices** for a more stable valuation.
- **Conclusion:** The choice between current price and averaged price depends on belief in **market efficiency**. If markets are efficient, current prices are sufficient; otherwise, averaging may be preferable.

Direct Comparison Approach

- Based on the **Principle of Substitution**, this approach assumes a buyer will **not pay more for a property than the cost of a similar one with equal utility available in the market.**
- **Methodology**:
  - ✓ Compare the company with others having similar characteristics and utility.
  - ✓ Estimate value using **current market prices** of these comparable businesses.
  - ✓ Adjust sale values for time and other differences to get a fair comparison.
- **Key Steps**:
  - **Determine Highest and Best Use**: Identify the property's optimal productive use considering legality, physical factors, and financial feasibility.
  - **Find Comparable Sales**:
    - ✓ Locate recent sales of similar businesses (same use, location, characteristics).
    - ✓ Adjust based on price multiples (e.g., P/E ratios) if exact price isn’t available.
  - **Adjust Comparable Sales**:
    - ✓ Adjust prices for differences in size, quality, facilities, etc.
    - ✓ May involve using ratios like price-to-earnings or price-to-growth for finer analysis.
- **Effectiveness**:
  - ✓ Works best when businesses are very similar.
  - ✓ Requires accurate data and careful adjustments.
  - ✓ Especially useful for **real estate** and **business valuations** when true comparables exist.

Discounted Cash Flow (DCF) Approach

DCF is used to determine the **present value (PV) of potential future cash flows by applying a discount rate** to each expected cash flow. The discount rate is typically the firm's cost of capital.

-100 Cr

1

2

3

Why It's Used:

- ✓ Helps assess investment value by comparing multiple options.
- ✓ Useful in evaluating acquisitions, annuities, or fixed asset purchases.
- ✓ Based on the principle that **money today is worth more than money in the future** due to the opportunity to earn interest.

$\frac{C'}{(1+r)^n}$

100 Cr

PV of Future In

110

Discounted Cash Flow (DCF) Approach

$= .5 \times 16 = 8$
$+ .5 \times 10 = 5$
13%

- ✓ Discounted cash flow analysis helps to determine the value of an investment based on its future cash flows.
- ✓ The present value of expected future cash flows is calculated using a projected discount rate.

Cost

Portion of Equity X ~~Rate~~ of Equity

\+ " " Debt X " " Debt

- ✓ If the DCF is higher than the current cost of the investment, the opportunity could result in positive returns and may be worthwhile.
- ✓ Companies typically use the weighted average cost of capital (WACC) for the discount rate because it accounts for the rate of return expected by shareholders.
- ✓ A disadvantage of DCF is its reliance on estimations of future cash flows, which could prove inaccurate.

Illustration:

₹1,00,000 invested at 10% earns ₹10,000 in a year.
If delayed access, the person loses this earning potential, justifying why delayed payments are discounted.

Formula to Calculate Present Value:

$$PV = \sum_{t=1}^{n} \frac{C_t}{(1+r)^t}$$

Where:

✓ Ct = Cash inflow in period *t*

✓ r = Discount rate

✓ n = Total number of periods

Key Insight: DCF is a powerful valuation tool to estimate a firm's intrinsic value and compare investment alternatives based on time-adjusted cash inflows.

H.W.

The DCF method of valuing a firm is similar to that for evaluation of a capital project. However, when valuing a company with the discounted cash flow methodology, it is necessary to make cash flow projections over an unspecified amount of time unlike a project which is presumed to have a definite life. Also, the basic presumption in a capital project is that it will not expand during its life-cycle. But, a business entity is anticipated to expand in the future. This is, without a doubt, a challenging proposition. In order to accomplish this objective, the value of the company is typically segmented into two time periods, namely:

Value of the firm = Present value of cash flow during the explicit forecast period + Present value of cash flow after the explicit forecast period

Since it is anticipated that significant change will take place within the company over the explicit forecast term, which is typically between 5 and 15 years, a significant amount of effort is put into the forecasting of its yearly cash flow. Because it is presumed that the company will have reached a "stable level" by the time the explicit prediction period is up, a more straightforward method is used to calculate the ongoing value of the company.

13.7 STEPS INVOLVED IN VALUATION USING DCF APPROACH

The following steps are involved in the process of evaluating a company using the discounted cash flow approach:

Step 1. Analyse historical performance to calculate:

a) Operating Invested Capital
b) Net operating profit less adjusted taxes
c) Return on Invested Capital
d) Net Investments

Step 2. Calculate Free Cash Flow, using the results of step 1

Step 3. Calculate the weighted average cost of capital (WACC)

Step 4. Based on calculations of Free Cash Flow (Step 2), forecast future cash flows for an explicit forecast period. Calculate PV of free cash flows using WACC

Step 5. Find the terminal value after the explicit forecast period and find its PV

Step 6. Add values in step 4 and 5 plus the value of non-operating assets, to arrive at the valuation of the firm

UNIT 14 DISCOUNTED CASH FLOW VALUATION

STRUCTURE

Discounted Cash Flow (DCF) Approach

Discounted cash flow analysis finds the **present value** of expected future cash flows using a **discount rate**. Investors can use the present value of money to determine whether the future cash flows of an investment or project are greater than the value of the initial investment. In other words, is the money this investment is likely to generate in the future higher than what will be invested right now?

$$\boxed{DCF = \frac{CF_1}{(1+r)^1} + \frac{CF_2}{(1+r)^2} + \frac{CF_n}{(1+r)^n}}$$

where:

$CF_1 =$ The cash flow for year one

$CF_2 =$ The cash flow for year two

$CF_n =$ The cash flow for additional years

$r =$ The discount rate

14.2 ESTIMATING INPUTS

For applying the DCF method of valuing a firm or any other asset, we need the following inputs:

a. The predicted cash flows in future
b. The discount rate that is suitable for the given level of risk associated with these cash flows
c. The estimated cash flow growth rate and
d. The estimated pattern of growth.

Discounted Cash Flow (DCF) Approach

The value of an asset equals the present value of its expected future cash flows (e.g., dividends, bond coupons, or net cash from real estate).

Risk-based Discounting: Higher discount rates apply to riskier assets, and lower rates to safer ones.

Objective: DCF aims to determine an asset's **intrinsic value**, based on its fundamental characteristics and expected future cash flows, using a suitable discount rate.

Discounted Cash Flow (DCF) Approach

Intrinsic Value Meaning:

- ✓ It’s the value estimated by a neutral analyst based on available data and projections.
- ✓ Even if challenging, especially for startups or uncertain futures, making a best-effort estimate is still beneficial.

Market vs Intrinsic Value:

- ✓ Market prices may differ from intrinsic values due to mispricing or volatility.
- ✓ The hope is that over time, both values will align.

Model Variations:

- ✓ Numerous DCF models exist; firms may claim their version is better, but all depend on similar fundamental factors.
- ✓ The differences lie in assumptions, complexity, and application, not the underlying concept.

In essence, DCF is a robust yet flexible tool for estimating true value based on cash flows and fundamentals.

H.W.

Why DCF Valuation is Important

1. **Foundation for Other Techniques**:
   - DCF is the theoretical base for all valuation methods, including relative valuation and option pricing models.
   - A solid understanding of DCF enables the accurate application of other valuation methods.
2. **Intrinsic Value Estimation**:
   - Intrinsic value represents the true worth of an asset based on its fundamentals, independent of market conditions.
   - It requires accurate estimation of expected future cash flows and the application of an appropriate discount rate.

3. Philosophical Justification:

- The concept of **present value** underpins DCF.
- The value of an asset is derived from the sum of its future cash flows, discounted back to the present based on their risk.

Key Components of DCF

1. **Cash Flows:**
   - These vary by asset type:
     - **Stocks**: Dividends
     - **Bonds**: Coupons and face value
     - **Real Estate**: After-tax cash flows
   - Estimating future cash flows involves uncertainty, especially for new or volatile businesses.
2. **Discount Rate:**
   - Reflects the risk level of the asset.
   - Higher risk = Higher discount rate, and vice versa.

Purpose and Challenges of DCF

- **Purpose:** To estimate the "true worth" of an asset based on its underlying characteristics rather than market sentiment.
- **Challenges:**
  - Estimating cash flows for uncertain or young companies is difficult.
  - Market prices often deviate from intrinsic value, but DCF helps identify these discrepancies, anticipating eventual alignment.

Various Discounted Cash Flow (DCF) Models

Enterprise DCF Model

- ✓ Discounts **Free Cash Flow to Firm (FCFF)** using the **Weighted Average Cost of Capital (WACC)**.
- ✓ Reflects the overall value of the business to all capital holders (debt + equity).

Equity DCF Model

- ❖ Has two variants:
  - ✓ **Dividend Discount Model (DDM)**: Discounts expected dividends using the **cost of equity**.
  - ✓ **Free Cash Flow to Equity (FCFE)** Model: Also uses the cost of equity to discount **cash flows available to shareholders**.

Adjusted Present Value (APV) Model

- ✓ Discounts **unlevered free cash flow** at the **unlevered cost of equity**.
- ✓ Adds the **present value of the interest tax shield on debt**.
- ✓ Useful when analyzing leveraged firms by separately valuing base business and debt benefits.

Economic Profit Model

- ✓ Discounts **economic profit stream** using **WACC**.
- ✓ Then adds the **currently invested capital** to the present value of profits.

These models offer alternative ways to estimate a firm's value depending on capital structure, type of cash flow, and valuation purpose.

CMP
100
− 2
98
+5
105

The Dividend Discount Model (DDM) is a quantitative method used to predict the price of a company's stock based on the theory that its **present-day price is worth the sum of all of its future dividend payments when discounted back to their present value.**

The DDM attempts to calculate the fair value of a stock irrespective of the prevailing market conditions. **It takes into consideration dividend payout factors and the market's expected returns.**

If the value determined by the DDM is higher than the current trading price of shares, then the stock is undervalued and qualifies for a buy, and vice versa.

The Dividend Discount Model (DDM)

- ✓ The dividend discount model (DDM) is a mathematical means of **predicting the price of a company's stock.**
- ✓ The model is based on the idea that the stock's **present-day price is worth the sum of all its future dividends** when discounted back to its present value.
- ✓ The purpose of the DDM is to **calculate the fair value of a stock,** regardless of current market conditions.

98

100

- ✓ Investors can use the DDM to help them decide whether to buy or sell stock.
- ✓ If the DDM value is **greater than the current stock price,** then the stock is considered undervalued and can be bought; if the DDM value is lower, then the stock is seen as overvalued and can be sold.

$$Value\ of\ Stock = \frac{EDPS}{(CCE - DGR)}$$

where:

$EDPS$ = expected dividend per share

CCE = cost of capital equity

DGR = dividend growth rate

The Dividend Discount Model (DDM) has mixed opinions regarding its applicability, with some supporting it and others noting deficiencies.

Its advantages include:

a) It is intuitive as dividends are the primary cash flow to shareholders.

b) Forecasting dividends requires fewer assumptions than free cash flows, using the previous dividend's growth rate.

c) A smoothed dividend policy makes dividends more reliable than earnings or reinvestments, enhancing valuation stability.

However, a drawback is that DDM treats dividends and cash flows similarly, potentially undervaluing companies with high cash balances or overvaluing those with high debt or stock issuance.

Dividend Discount Model (DDM) – Constant Growth Model

The Constant Growth Dividend Discount Model (DDM), also known as the Gordon Growth Model, is a method to estimate a **stock's intrinsic value by assuming dividends will grow at a constant rate indefinitely.** It's a simplified version of the DDM, focusing on the present value of an infinite stream of future dividends growing at a steady pace.

Dividend Discount Model (DDM) – Constant Growth Model

- ✓ **Dividend Discount Model (DDM)** estimates a company's share price based on the **present value of expected future dividends**.
- ✓ It assumes that the **value of a stock equals the sum of all future dividend payments**, discounted back to present value.
- ✓ DDM is one of the oldest and widely used **discounted cash flow models**, especially for valuing equity shares.

The various dividend discount models used for valuation are as under:

14.5.1 Constant Growth Model

One of the most common assumptions used by dividend discount models is that the dividend paid out per share would increase at a rate that is fixed (g). According to this hypothesis, the value of a share is computed as follows:

$$P_0 = \frac{D_1}{(1+r)} + \frac{D_1(1+g)}{(1+r)^2} + \dots \frac{D_1(1+g)^n}{(1+r)^{n+1}} + \dots\dots$$

Where,

P_0 is the current fair price of the share

D_1 is the expected dividend one year from now

r is the rate of return required by the investor

n represents any particular year and can be any number between 0 and infinity

Following the use of the formula for the sum of a geometric progression, the preceding expression can be simplified to:

$$P_0 = \frac{D_1}{(r-g)}$$

H Model (Two-Stage Growth Model)

The **H Model** is a two-stage growth model that assumes:

- ✓ **High initial growth rate** that **declines linearly** over time.
- ✓ Eventually, growth stabilizes at a **constant long-term rate.**

The H model reflects a **gradual transition** over time—specifically over **2H years** (H = half the transition period).

Assumptions:

- ✓ Dividend growth starts high and slows to a stable rate.
- ✓ Discount rate and cost of equity remain constant.
- ✓ Dividend payout is stable post-transition.

Formula:

$$P_0 = \frac{D_0(1+g_n)}{r-g_n} + \frac{D_0 \cdot H(g_s - g_n)}{r-g_n}$$

Where:

- P_0: Present value (intrinsic share price)
- D_0: Current dividend
- r: Required rate of return
- g_s: Initial high growth rate
- g_n: Long-term stable growth rate
- H: Half of the transition period

Interpretation:

- First term: Value from stable growth
- Second term: Premium due to initial high growth tapering off

Usefulness: Suitable for firms with strong initial growth that will taper to a normal rate—commonly used in equity valuation of growing firms nearing maturity.

The equity shares of ABC Private Limited presently generate a dividend payment of Rupee 1.00 every year. The growth rate as of right now is thirty percent. On the other hand, this will decrease in a linear fashion over the course of ten years, and then it will level off at ten percent. What is the company's intrinsic worth per share, assuming that investors require a return of 15% on their investment?

The following information is available:

$D_0 = 1.00$

$g_a = 30$ percent

$H = 5$ years

$g_n = 10$ percent

$r = 15$ percent

Putting the above inputs in the H-model, we get the estimated intrinsic value as follows:

$$P_0 = \frac{1\,[(1.10)+5(0.30-0.10)]}{0.15-0.10} = \text{Rs. } 42.00$$

The H model is more realistic than the two-stage model, which predicts that the growth rate would suddenly slow down after a given amount of time. Instead, the H model predicts that the growth rate will gradually slow down over time. On the other hand, presuming that the dividend pay-out rate will remain unchanged during all stages of growth appears to be an unrealistic expectation. Because of this, the model cannot be used by any company that pays out zero or very little dividends at the present time. The applicability of the model is severely restricted due to the requirement that it exhibit both rapid development and substantial pay-outs.

OTHER NON-DCF VALUATION MODELS

STRUCTURE

Valuation methods are broadly divided into two groups: The Discounted Cash Flow (DCF) methods and Non-DCF methods. In previous Units, we have discussed in detail, various models involving DCF methods. In this Unit, we will discuss the valuation models which use Non-DCF methods for valuation. The models we will discuss, are:

1. Relative Valuation Model
2. Equity Valuation Multiples Model
3. Enterprise value multiples Model
4. Book value approach Model
5. Stock and Debt Approach Model

The Relative Valuation Model values an asset by comparing it to similar assets' market prices, considering cash flow, growth, and risk. Unlike the discounted cash flow technique, it relies on relative worth rather than absolute value, as humans tend to assess value based on comparisons (per Dan Ariely).

Similar assets should have comparable values, and one can determine an asset's worth by analyzing the price of a comparable asset sold between knowledgeable parties.

For example, if 2 acres of agricultural land sold for Rs. 10 lakhs (Rs. 5 lakhs per acre), a 5-acre land would be valued at Rs. 25 lakhs.

Relative valuation involves the following steps

1. Conducting Research on the Concerned Organisation

2. Identifying Businesses That Are Analogous

3. Determining the Multiples Used in Valuation

4. Figuring Out the Valuation Multiples for the Other Comparable Companies

5. Establishing a Value for the Concerned Business

Y.W.

Conducting Research on the Concerned Organisation involves a comprehensive analysis of the subject company’s position within its industry and financial standing. Key points include the company’s product catalogue, market sectors served, availability and prices of inputs, technological and manufacturing capacity, market reputation, product differences, managerial capability, human resource competence, market dynamics, access to capital, and revenue/profit margins.

Identifying Businesses That Are Analogous requires selecting comparable businesses based on industry type, customer base, operations scope, and similarity to the subject company. This can be challenging due to varying customer bases and capacity levels. Analysts should evaluate 10-15 companies in the same industry, choosing 3-4 closely aligned ones, involving subjective judgment. Further research is needed to refine the list, investigating why some organisations perform differently, often due to stronger revenue streams, economies of scale, or higher returns, justifying larger multiples.

3. Determining the Multiples Used in Valuation

In reality, a variety of different value multiples are utilised. They can be organised into the following two major groups:

(a) stock valuation multiples, such as the price-earnings ratio, the price-book value ratio, and the price-sales ratio, and

(b) enterprise valuation multiples (EV-EBITDA ratio, EV-FCFF ratio, EV-book value ratio, and EV-sales ratio).

Given that none of the multiples used for valuation are ideal, it makes the most sense to employ two or three multiples that provide results that appear to be suitable for the task at hand. Enterprises are valued using a variety of valuation multiples, the most common of which are the EV-EBITDA ratio, the EV-book value ratio, and the EV-sales ratio.

4. Figuring Out the Valuation Multiples for the Other Comparable Companies

Calculate the valuation multiples for each of the similar companies by using the observed financial characteristics and values of the companies being compared. To illustrate this point, let's imagine that there are two similar businesses, A and B, and their respective financial data is as follows:

Rs. *Crs.*

	Company A	Company B
Sales	6,000	9,000
EBITDA	1,000	2,000
Book value of Assets	4,000	6,000
Enterprise Value	3,000	4,500

The valuation multiples for the companies are:

	Company A	Company B	Average
EV-EBITDA	3	2.25	2.625
EV-Book value	0.75	0.75	0.75
EV-Sales	0.5	0.5	0.5

5. Establishing a Value for the Concerned Business

It is possible to evaluate the subject company if one considers the valuation multiples that have been observed for comparable companies. You can accomplish this in a straightforward manner by applying the average multiples of the comparable companies to the pertinent financial attributes of the subject company. This will allow you to obtain multiple estimates (as many as the number of valuation multiples used) of the enterprise value of the subject company, and you can then take the arithmetic average of these estimates.

The growth prospects, risk characteristics, and size of the subject company (the most important drivers of valuation multiples) should be compared with those of comparable companies, and after that, a judgmental view of the multiples that are applicable to it should be taken. This is a more sophisticated method of doing what needs to be done.

Rs. ***Crs.***

	Company E	Company F	Company G
Sales	1,000	2,000	3,000
EBITDA	400	500	600
Book value of Assets	900	1,000	2,000
Enterprise Value	3,000	4,000	6,000

Three valuation multiples, as shown below, have been considered

	Company E	Company F	Company G	Average
EV-EBITDA	7.5	8	10	12.75
EV-Book Value	3.33	4	3	5.165
EV-sales	3	2	2	3.5

The following estimations of Company M's enterprise value can be derived by applying the average multiples to the company's financial figures:

EBITDA Basis		Book Value Basis		Sales Basis	
Average EV-EBITDA	12.75	Average EV-book value	5.165	Average EV sales	3.5
EBITDA of M	500 crore	Book Value of M	2,000 crore	Sales Value of M	5,500 crore
EV of M	6,375 crore	EV of M	10,330 crore	EV of M	19,250 crore

A simple arithmetic average of the three estimates of EV is:

$$= \frac{6,375 + 10,330 + 19,250}{3} = \text{Rs. } 11,985 \text{ crore}$$

$PAT \rightarrow 10L$

$Share \rightarrow 1L$

$CMP \rightarrow 100$

$$P/E = \frac{CMP}{EPS}$$

$$EPS = \frac{PAT - Div}{Share}$$

$$EPS = \frac{10L}{1L} = 10$$

$$P/E = \frac{100}{10} = 10$$

The Equity Valuation Multiples Model, introduced by Benjamin Graham and David L. Dodd in 1934, uses the price-to-earnings (P/E) multiple as a key valuation method, still relevant today.

The P/E multiple, a widely used statistic, is calculated as the market price per share divided by earnings per share (EPS), using either the previous financial year's EPS, the last 12 months, the current year, or the expected EPS for the next year. It is typically expressed as the current market price per share (P_0) divided by the expected earnings per share a year from now (E_1).

15.3.1.2 Reasons for Using P/E Multiple

The application of the P/E multiple is recommended for the following reasons:

a) Earnings potential is a significant factor in determining investment value; as a result, earnings per share (EPS) plays a significant role in valuing securities. A survey conducted by the members of Association for Investment Management & Research identified book value as the most important variable to be considered when valuing a company's equity from amongst earnings, cash flow, book value, and dividends.

b) Empirical data indicates that stocks with a low price-to-earnings ratio typically outperform the market. There are a few disadvantages associated with the use of P/E, which stem from the fact that if EPS is in the red, using P/E as a ratio makes no sense from an economic standpoint. Earnings that can be sustained over time, play a significant role in the determination of an asset's intrinsic value. The job of the analyst is made more challenging by the fact that results frequently contain non-recurring and volatile components.

c) Management has some leeway to alter EPS while still adhering to generally accepted accounting principles, but this leeway is limited. These kinds of adjustments might make it difficult to compare P/E ratios across different companies.

The P/B (Price to Book Value) multiple has been used nearly as long as the P/E (Price to Earnings) multiple. P/E uses earnings per share (EPS) from the income statement, while P/B uses book value per share (B), derived from the balance sheet as (Shareholders funds - Preference capital) / Number of outstanding equity shares.

Factors Determining the P/B Multiple:

- Formula: $\frac{P_0}{B_0} = \frac{ROE(1-b)}{(r-g)}$, where ROE is return on equity, g is growth rate, b is dividend payout multiple, and r is the required rate of return by equity investors.
- Example: With ROE at 25%, r at 18%, b at 0.5, and g at 15%, the P/B multiple is approximately 4.17.

Reasons for Using P/B Multiple: Earnings per share can be negative, but book value is almost always positive.

- ✓ Book value per share is more significant than P/E in situations where EPS is extremely high or low or very variable.
- ✓ Empirical studies show variations in P/B ratios are linked to long-term average returns.

Downsides of P/B Multiple: Traditional financial sheets ignore intangible assets like human capital or brand equity.

- ✓ The difference between an asset's book value and market value widens due to inflation and technical advancements.
- ✓ Depending on business strategy, asset needs vary, making P/B potentially deceptive when disparities are present.

15.3.1.1 Fundamental Determinants of the P/E Multiple

From a fundamental point of view

$$P_0/E_1 = \frac{(1\text{-}b)}{r - ROE*b}$$

where $(1 - b)$ is the dividend payout ratio, r is the cost of equity, ROE is the return on equity, and b is the ploughback ratio.

Example:

V & S Company's Return on Equity is 20 percent and its r is 15 percent. Company's dividend payout ratio is 0.3 and its retention ratio 0.7. So, from a fundamental point of view,

V & S Company's P/E multiple is:

$$P_0/E_1 = \frac{0.3}{0.15\text{-}0.20*0.7} = 30$$

15.3.2.1 The Most Important Factors That Determine the P/B Multiple

When viewed from the most fundamental angle,

$$\frac{P_0}{B_0} = \frac{ROE\ (1\text{-}b)}{(r\text{-}g)}$$

where ROE is the return on equity, g is the growth rate, (1 – b) is the dividend payout multiple, and r is the rate of return required by equity investors.

Example

Vitthal Limited's ROE is 25 percent and its r is 18 percent. Vitthal's dividend payout ratio is 0.5 and its g is 15 percent. From a fundamental point of view, Vitthal's P/B multiple is:

$$\frac{P_0}{B_0} = \frac{0.25*0.5}{0.18\text{-}0.15} = 4.17$$

UNIT 16

SPECIAL CASES OF VALUATION

STRUCTURE

16.1 INTRODUCTION

In the last few units, we concentrated on Corporate and Business Valuations and also discussed the various approaches and methodologies used by Valuers and Analysts for the purpose of valuation. In this unit, we shall be discussing some special cases of valuation.

16.2 INTANGIBLES –BRAND, HUMAN VALUATION ETC.

It is in our nature, as human beings, to make a differentiation between the assets that are visible to us and the ones that we cannot see, and to feel somewhat more safe and secure about the items or assets that we can see and feel. However, the latter category encompasses a wide range of assets, some of which are: goodwill, a brand name, devoted employees, technological capabilities, and so on. One of the most prominent arguments made against valuation methods in general and in particular against financial analysts, is that we give intangible assets very little consideration, which leads to an undervaluation of those assets.

Valuing intangible assets, which are highly valuable but don't generate cash flows directly, is challenging. Three approaches are used:

- ✓ **Capital Investment:** Estimates value based on money invested in the asset (e.g., advertising expenses), though it may not reflect market value and follows accounting practices for tangible assets.
- ✓ **Discounted Cash Flow Valuation:** Values the asset by discounting anticipated cash flow increases attributable to it (e.g., brand or technology expertise) at an appropriate rate.
- ✓ **Relative Valuation:** Compares a company's market value (with the intangible) to similar companies without it, highlighting the asset's impact (e.g., brand name).

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16.2.2.1 Approaches for valuation

It is typically challenging to isolate and put a monetary value on intangible assets that both garner the most attention and are considered to have the greatest value. They do not provide cash flows on their own, but they enable a firm to charge higher prices for its products, which in turn produces a greater amount of cash flows for the company. However, there are three distinct approaches that we can take in order to arrive at an estimate of the worth of these intangible assets, despite the fact that it is more difficult to do so. The 3 approaches are as under:

(a) **Capital Investment:**

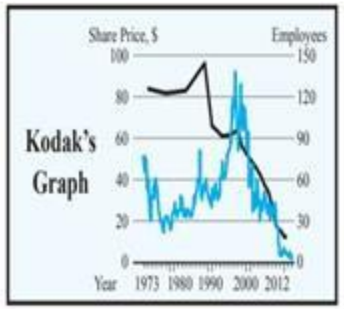
The amount of money that a company has put into an asset over the course of its existence can give us a good idea of how much that asset is worth on paper. To do this with a brand name, for example, you would need to look at advertising expenditures throughout time, capitalise these expenses, and then look at the balance of these expenses today that has not yet been amortised. This method may not match or even come close to the asset's market value, despite the fact that it is the least subjective of the three approaches. However, it follows the pattern that accountants use to determine the value of other tangible assets that are recorded in the books.

(b) **Discounted Cash Flow Valuation:**

We have the ability to discount the anticipated increase in cash flows that will be brought to the company as a result of the intangible asset in question. This will require isolating the percentage of an organization's aggregate cash flows that can be attributable to its brand name or its level of technological expertise and then discounting back these cash flows at a rate that is appropriate for the situation.

(c) **Relative valuation:**

Comparing the market value of a company (with the intangible asset) to the market value of companies that are similarly similar but do not have the intangible asset is one approach to isolating the effect of an intangible asset such as a brand name. This disparity can be traced back to the existence of the intangible asset.



Source: https://startuptalky.com/kodak-bankruptcy-case-study#:~:text=Kodak%20failed%20to%20realize%20that,the%20sales%20of%20digital%20cameras.

The three cases — **Kodak, IBM, and Xerox** — all illustrate companies that failed to adapt to technological changes, which ultimately led to significant decline in their market positions.

1. **The Kodak Case:** Kodak spent over a decade resisting the shift to digital photography, believing that Americans would always prefer film-based cameras. Despite emerging digital camera technology and market feedback, Kodak continued to promote film and ignored the rise of digital alternatives. By the time Kodak attempted to embrace digital, it was too late.

The company eventually ended the sale of film cameras in 2004, but by then, it had already lost market relevance. Kodak's stock plummeted, and it was removed from the S&P 500 in 2011.

2. The IBM Case: In the 1980s, IBM was threatened by the rise of personal computers. Despite having the capability to develop an operating system for PCs, IBM ceded this opportunity to Microsoft. This misstep led to a dramatic loss in market value by 1989. However, IBM eventually recovered, offering lessons in adapting to market changes and technology.

3. The Xerox Case: Xerox dominated the photocopier market for decades but failed to adapt to emerging technologies like emails, faxes, and low-cost printers. Although Xerox invented several key technologies, it failed to capitalize on them. By the late 1990s, the company's fortunes declined, and by 2000, doubts about its future arose. Xerox's downfall was largely due to its inability to recognize and adjust to technological shifts.

All three cases highlight the importance of adapting to market changes and technological advancements, showing that failure to innovate and embrace new opportunities can lead to a company's decline.

Valuing Cyclical Companies: Cyclical companies, whose earnings fluctuate with economic cycles, require specific approaches to valuation due to the erratic nature of their profits. There are two key methods for handling this:

1. **Adjust Expected Growth:** Since cyclical businesses often experience poor profitability during economic downturns but see quick recoveries when the economy improves, one approach is to adjust the growth rate for future earnings to reflect these cyclical changes.

This involves using a higher growth rate if the economy is expected to improve, or a lower one if a downturn is expected. However, this method depends on the accuracy of macroeconomic forecasts, which can be uncertain.

2. **Normalize Earnings:** Normalizing earnings smooths out the impact of economic cycles by adjusting for non-typical years (e.g., losses or booms). The goal is to determine what a company would earn in a "typical" year, assuming current earnings are not reflective of normal conditions. Normalizing, in simple terms, means adjusting something to make it more typical or average by removing extreme ups and downs.

1 3 7 10

For example, imagine a company's earnings (profits) are very high one year because of an economic boom, and very low the next year due to a downturn. If we want to know what the company usually earns in a typical year, we "normalize" the earnings by averaging out these highs and lows. This helps us get a more realistic and steady picture of the company's usual performance, without letting unusual circumstances (like a boom or bust) distort the overall view.

In short, normalizing is about finding **the "normal" or "typical" level of earnings or performance over time,** smoothing out the irregularities caused by temporary changes in the economy or the business.

Several ways to normalize earnings include:

- **Averaging past earnings** over multiple periods, typically five to ten years, to account for a full economic cycle. This method works best if the company's size has remained relatively stable.
- **Averaging return on investment (ROI) or profit margins** over past periods to reflect the company's current size, adjusting for any growth or contraction in its scale.
- **Normalizing net income** by using average returns on equity or operating margins from past periods and applying them to current revenues.

Challenges of Normalizing: One challenge with normalizing is determining the time frame in which earnings will return to normal levels. If earnings are expected to take multiple periods to normalize, the current value may be overstated, requiring a reduction in the estimated value based on the time required for recovery.

Overall, valuing cyclical companies requires careful adjustments to account for economic fluctuations and ensures that the valuation reflects a more accurate picture of the company's long-term potential.

Differences between Cash Valuation Approaches

	Consolidated Valuation	Separate Valuation
Objective	Value firm as a whole with cash as part of the assets.	Value non-cash assets separately from cash.
Earnings	Should include interest income from cash and marketable securities	Should exclude interest income from cash and marketable securities. (If using net income to estimate cash flows to equity, you need to remove after-tax interest income.)
Reinvestment	Should consider reinvestment in both operating assets and cash.	Reinvestment should be only in operating assets
Unlevered Beta	Should be the weighted average of the unlevered beta of operating assets and the beta of cash (generally zero). Weights should be based on estimated values of operating assets and cash.	Unlevered beta of just the operating assets.
Accounting returns	Should be measured using total earnings (including earnings from cash) and capital inclusive of cash.	Should be measured using non-cash earnings, and cash should be netted from capital measure.
Growth rate	Growth rate should reflect growth in consolidated earnings (including earnings from cash).	Growth rate should be only in operating earnings.
Final Valuation	The present value of the cash flows will already include cash. Do not add cash to it.	The present value of the cash flows is the value of the operating assets. Cash has to be added to it.

UNIT 17 MERGER, ACQUISITION & RESTRUCTURING

STRUCTURE

Corporate restructuring is essential in today's competitive, globalized business environment. It involves internal and external changes, such as shifting strategies, divesting non-core assets, mergers, and acquisitions (M&A). These transformations aim to create synergies and adapt to dynamic markets.

Corporate Restructuring in India

India has witnessed significant growth in M&A activity, with landmark deals like the HDFC-HDFC Bank merger in 2022 and the Mindtree-L&T Infotech merger. Factors driving this include globalization, economic challenges like inflation, and recession in other markets

Types of Restructuring

- ✓ **Internal Restructuring**: Involves changes within the company, such as investments, R&D, or spin-offs.

- ✓ **External Restructuring:** Includes mergers, acquisitions, joint ventures, and strategic alliances.

Legal Framework

Corporate restructuring in India is governed by multiple laws:

- **Companies Act, 2013 (Sections 230-240):** Covers mergers, demergers, and fast-track mergers.
- **SEBI Act:** Oversees takeovers.
- Other laws like the Competition Act, FEMA, and the Income Tax Act regulate different aspects.

Merger: A merger is the combination of two separate businesses into one, often dissolving one or more entities, corporations, or proprietorships to consolidate into a larger entity.

Types of Mergers:

- **a) Horizontal Merger:** Involves businesses in the same market sector, increasing market share for the consolidated company.
- **b) Vertical Merger:** Occurs when two organizations with a "buyer-seller" relationship merge, enhancing supply chain efficiency.
- **c) Mergers Between Conglomerates:** Involves companies with unrelated business lines, aiming to diversify products or markets, often requiring significant integration.
- **d) Congeneric Merger:** Combines a company with another in a related field, leveraging complementary strengths like technology or market expertise.
- **e) Reverse Merger:** Allows an unlisted company to avoid lengthy IPO processes by merging with a listed company, facilitating public offering.

Acquisition: Refers to one corporation purchasing a controlling interest in another firm's share capital, which can occur through:

- **Arrangement with the majority interest holder.**
- **Acquisition of fresh shares via a confidential agreement.**
- **Acquisition of shares through an open market (open offer).**
- **Purchase of a portion of share capital with cash and issuing shares.**
- **Offer to buy out the general body of shareholders.**

When one company acquires another, the acquiring firm can either merge both into a single entity or run the acquired company independently with new management and policies. A "merger" implies an equal partnership, while an "acquisition" means the acquired firm is bought out, typically losing its identity, usually in a cordial manner.

Purchase of Division or Plant: One corporation can buy a division or factory from another, e.g., SRF India acquired CEAT Limited's nylon cord division. The acquiring company takes over assets and liabilities, as seen with Abbott Laboratories' $3.72 billion acquisition of Piramal Healthcare, often involving only a fraction of the target's assets and liabilities.

Takeover: Involves acquiring 50-100% equity interest to control a company, e.g., HINDALCO's 54% stake in INDAL from Alcan. Takeovers can be hostile (without shareholder consent) or amicable (with majority consent), differing from acquisitions in consent.

Leveraged Buyout: A takeover or division purchase using loan financing, differing from typical acquisitions.

Divestitures: Unlike acquisitions that increase control and asset base, divestitures reduce them.

Types include:

a) Partial Selloff: Selling a portion of operations (e.g., facility or business) to another company.

b) Transfer of Ownership: Sale of equity stake by an investor (or group) to another, often a controlling block.

Reasons for Merger:

1. Synergistic Operating Economies: Mergers aim to combine resources for greater value than separate operations, requiring the total value of merged entities to exceed their individual values. Synergy can enhance efficiency, reduce costs, and boost profitability through economies of scale, complementary services, or improved resource utilization.

2. Tax Advantages: Mergers can offer tax savings by reducing tax liabilities or utilizing losses, benefiting the amalgamated company.

3. Growth: Mergers facilitate growth by merging with firms in the same or related sectors, leveraging existing infrastructure and markets.

4. Consolidation of Production Capabilities: Mergers enhance market power by consolidating competitor resources, improving production efficiency.

5. Economies of Scale: Larger scale operations reduce per-unit costs, enhancing competitiveness.

6. Economies of Scope: Diversifying into related products or markets using existing capabilities can improve efficiency.

7. Economies of Vertical Integration: Combining stages of production or distribution can reduce costs and improve control.

8. Complementary Resources: Mergers can combine complementary capabilities, aiding development of innovative products or services.

Mechanics of a Merger: Governed by the Companies Act, 2013 in India, the merger process involves approval from the National Company Law Tribunal (NCLT), with key provisions outlined in the Act and overseen by the Securities and Exchange Board of India (SEBI) and the Competition Act.

Legal procedures are lengthy, requiring board and shareholder approvals, and were previously regulated under the Companies Act, 1956, until the 2013 Act's introduction.

Legal Procedure of Amalgamation:

a) In-Depth Analysis of Object Clauses: Ensures compatibility of merger objectives, with memorandums of association reviewed and amendments approved by the company and NCLT to align object clauses.

b) Communication with Stock Exchanges: Proposed merger details are shared with stock exchanges, requiring board approval and a scheme of amalgamation, which must be approved by shareholders and creditors.

c) Board Approval of Draft Amalgamation Proposal: Boards of both companies draft and approve the merger plan, submitting it to the NCLT with necessary documentation.

d) Application to the NCLT: Companies submit an application to the NCLT, which may direct meetings of shareholders and creditors to vote on the proposal, requiring majority approval and NCLT confirmation before finalizing the merger.

17.4.3 Tax Aspects

An amalgamation is the process of merging one or more firms into an already existing company or merging two or more companies into a new company that has been founded particularly for the purpose of carrying out the amalgamation. The companies that are coming together to form a new entity are referred to as amalgamating companies, and the new company is referred to as the amalgamated company. If the following conditions are met, the amalgamated company will be eligible for a number of tax benefits: (a) all of the properties and liabilities of the amalgamating company immediately prior to the amalgamation will become the properties and liabilities of the amalgamated company by virtue of the amalgamation; (b) shareholders holding at least 75 percent in value of the amalgamating company's shares will become shareholders of the amalgamated company because of the amalgamation.

Only in the case where the amalgamating company was an Indian corporation will the resulting company be eligible for certain tax advantages. The combined firm will have access to the following deductions, to the extent that they were available to the company that was merging, and to the extent that they are still unabsorbed or unfulfilled:

a) Investments in fixed assets devoted to scientific research
b) The cost of purchasing or acquiring patent rights, copy rights, and technical know-how
c) The cost of acquiring a licence to provide telecommunications services as an operating expense
d) Depreciation of the costs incurred in the planning stage
e) The ability to carry forward losses as well as unused depreciation

We are also required to take into consideration stamp duties in addition to income tax. Some states, such as Maharashtra and Gujarat, have enacted their own stamp duty legislation, while other states have adopted the Indian stamp duty and made the necessary modifications to it.

Accounting for Business Combinations: An acquirer gaining control of one or more firms can be treated as a business combination through methods like:

(a) Transfer of cash, cash equivalents, or other assets.
(b) Taking on financial obligations.
(c) Selling ownership stakes.
(d) Offering multiple considerations.

The acquisition process follows Ind AS 103, detailing steps for all business combinations except common control transactions, including: (a) Identifying the acquirer.
(b) Determining the acquisition date.
(c) Recognizing and measuring goodwill or gain from a bargain purchase.
(d) Identifying and measuring identifiable assets, liabilities, and non-controlling interests in businesses under common control.

Accounting for Business Combinations:

Pooling of Interests Method: Used for corporate mergers with common control, where:

(i) Assets and liabilities are recorded at carrying amounts.

(ii) No modifications reflect fair value, and no new assets or liabilities are recognized, only changes to synchronize accounting policies.

(iii) Adjustments to reserves account for capital differences from the share swap ratio.

17.4.5 The Role of Investment Bankers

There are multiple ways in which investment banks are involved in mergers and acquisitions. To begin, they assist in the coordination of mergers. Second, when a corporation is targeted by an adversarial raider, it will create and put into practise defensive strategies in order to protect itself. Thirdly, they contribute to the process of valuing potential targets. In the fourth step, they organise funding for the transaction. Fifth, they put their money into possibilities to arbitrage.

a) **Arranging Mergers**

The majority of investment banks include a department dedicated to mergers and acquisitions known as an M&A group. This department is tasked with finding companies that would be desirable to others as well as companies that have surplus capital and the desire to buy other companies. The mergers and acquisitions team is working to bring about a merger.

b) **Developing Defensive Strategies**

If the target company does not wish to be purchased, it will typically seek the assistance of an investment banking business as well as a law firm that specialises in mergers and acquisitions in order to fend off the possible acquirer in a variety of ways.

c) **Determining Fair Value**

It is essential, when working out the details of a friendly merger, to prove that the price that has been agreed upon is a reasonable one. If this is not done, the stockholders of either or both companies may challenge the merger in a court of law. Therefore, in the majority of cases involving substantial mergers, each party will retain an investment-banking firm to assist in determining the appropriate price for the combined company.

d) **Financing Mergers**

Investment bankers need to be able to provide clients with a financing package if they want to be successful in the mergers and acquisitions (M&A) market. Acquirers may need funds for purchases.

17.5.3 Cash vs. Stock Compensation

The decision of whether to pay for an acquisition with cash or with shares should not be taken lightly. When a purchase is paid for in cash, it is crystal clear who the buyer and seller are; but, when an acquisition is paid for in stock, it is somewhat less obvious who the buyer and seller are. The decision of whether to be compensated in cash or shares is primarily determined by four different criteria.

1. **Overvaluation**
   If the stock of the acquiring company is overvalued in comparison to the stock of the company being bought, then making payments in stock rather than cash can be the more cost-effective option.
2. **Taxes**
   In the eyes of the shareholders of the acquired company, a transaction including cash compensation constitutes taxable income, whereas a transaction involving stock compensation does not.
3. **Sharing of Risks and Rewards**
   If the shareholders of the acquired firm are given financial compensation instead of other benefits, they will neither shoulder the risks nor experience the benefits of the merger. On the other hand, shareholders of the acquired firm take part in the risks as well as the profits of the merger if stock compensation is given out.
4. **Discipline**
   The empirical evidence reveals that cash-financed acquisitions have a higher rate of success compared to stock-financed purchases in terms of overall success. Why? It is possible that cash buyers evaluate properties with a greater sense of discipline, circumspection, and rigour.

Exchange Ratio in a Merger: The acquiring company offers its shares in exchange for those of the target company, determined by an exchange or swap ratio, e.g., a 1:1 ratio means one share of the acquirer for one of the target.

Factors Involved in Determining the Exchange Ratio:

1. Book Value Per Share: Calculated by comparing book values per share, e.g., if the acquirer's book value is Rs. 25 and the target's is Rs. 5, the ratio might be 0.5 (2:5), though this method is criticized for relying on accounting practices and not reflecting true economic value.

2. Earnings Per Share: Based on earnings per share, e.g., if the target's EPS is Rs. 10 and the acquirer's is Rs. 5, the ratio is 0.5 (5:10), indicating ten target shares for five acquirer shares.

However, this method has issues as it doesn't account for:

(a) Disparities in past earnings growth.

(b) Risks tied to the financial outcomes of the merging companies.

(c) The challenge of using current profits, which may be skewed by one-time events or negative earnings, complicating accurate valuation.

Exchange Ratio in a Merger:

3. Market Price Per Share: The exchange ratio can be determined by comparing market share prices of the acquiring and target companies. For example, if the target's shares sell for Rs. 25 and the acquirer's for Rs. 100, the ratio is 0.25 (25/100), meaning four target shares are exchanged for one acquirer share. Market prices reflect profitability, growth, and risk but may be unreliable with low trading volume or no market activity, and can be influenced by market sentiment.

4. Dividend Discounted (DD) Value Per Share: The exchange ratio can be calculated by comparing DD values per share, e.g., if the acquirer's DD value is Rs. 80 and the target's is Rs. 50, the ratio is 0.625. This method is useful for firms with stable dividend streams but less so in uncertain situations.

5. Discounted Cash Flow (DCF) Value Per Share: The DCF value per share is (Firm value using DCF Method – Debt Value)/No. of Equity shares. The exchange ratio can be derived from DCF values, e.g., if the acquirer's DCF value is Rs. 40 and the target's is Rs. 30, the ratio is 0.75. DCF is effective for estimating the combined company's worth over ten years but may overlook existing firm potential.

Takeovers: A takeover involves acquiring a significant equity block to control a company, often requiring less than full ownership (e.g., 30-40%) due to dispersed shareholders. It can be friendly (with management agreement) or hostile (without). Notable Indian examples include HINDALCO's takeover of INDAL, Reliance Industries' of VSNL, Tata's of BALCO, and Daiichi Sankyo's of Ranbaxy Laboratories.

Takeovers may occur through: **Open Market Purchase:** Acquirer buys shares on the stock market, the starting point for hostile takeovers.

1. **Negotiated Acquisitions:** Acquirer purchases shares from current owners, often promoters.
2. **Preferential Allotment:** Acquirer buys shares through a friendly equity allotment, aiming to gain strategic control and inject finances into the target company.

SEBI Takeover Code:

- ✓ **Disclosure:** Acquirers must disclose holdings exceeding 5% of a company's stock to stock exchanges instantly.
- ✓ **Trigger Point:** Acquirers cannot exceed 25% ownership without a public offer (currently 26%).
- ✓ **Merchant Banker:** A SEBI-registered merchant banker must assist in public announcements and ensure financial arrangements.
- ✓ **Public Announcement:** Within four days of agreeing to purchase shares, a public notice must detail the offer, including price and dates.
- ✓ **Offer Price:** Pricing is based on specific criteria.
- ✓ **Responsibilities of the Acquirer:** Ensures offer delivery to shareholders within 45 days and payment within 30 days of offer closure.
- ✓ **Obligations of the Board of the Target Company:** Cannot dispose of assets or issue capital without shareholder approval post-offer announcement.
- ✓ **Bids from Competitors:** Competitive bids can be made within 21 days of the initial offer, with the original acquirer able to revise, subject to conditions.

the interest of small shareholders.

17.8.4 Pricing Guidelines Under SEBI Takeover Code

The highest price out of following will be considered as the minimum price for the open offer:

a) The highest price that was agreed for each share of the target company as part of any acquisition that was subject to the terms of the agreement and triggered the requirement to make a public notification of an open offer.

b) The volume-weighted average price paid or due for acquisitions made during the fifty-two weeks immediately before the date of the public announcement. These acquisitions could have been made by the acquirer himself or by any person working in concert with him.

c) The highest price paid or payable for any purchase during the twenty-six weeks immediately before the date of the public announcement, whether by the acquirer himself or by any other person acting in concert with him. The highest price paid or payable for any acquisition.

d) The volume-weighted average market price of such shares for a period of sixty trading days, immediately preceding the date of the public announcement as traded on the stock exchange where the maximum volume of trading in the shares of the target company, are recorded during such period, provided that such shares are frequently traded. This market price should be calculated using the stock exchange where the maximum volume of trading in the shares of the target company, are recorded during such period. Shares of a target company are considered "frequently traded" if their turnover on any stock exchange during the twelve calendar months prior to the calendar month in which the public announcement is made constitutes at least ten percent of the total number of shares of such a class of shares held by the target company. This percentage must be at least ten percent in order for the shares to be considered "frequently traded."

Leveraged Buyouts (LBOs): A leveraged buyout involves transferring control of a company using primarily debt financing. It can target an entire company or a portion, with a management buyout (MBO) occurring when management purchases a business unit, often transitioning it to private ownership.

Example: Vipul Limited considers selling its A division (valued at Rs. 100 crore, with a replacement cost of Rs. 160 crore). Four executives from the A division, interested in an LBO, propose buying it for Rs. 120 crore. Financial Engineering Limited (FEL) estimates the venture's cash flows can cover the Rs. 120 crore debt, secures Rs. 95 crore in debt financing, and finds a private investor for Rs. 8 crore in equity. The A division is purchased by a new entity led by the executives, financed through debt.

What Does Debt Do? A leveraged buyout (LBO) relies heavily on loans, which can sedate management but also energize it by encouraging efficiency and operational improvements. Bennett Stewart III and David M. Glassman note debt's role in squeezing inefficiencies, though it limits error margins. Equity is forgiving, while debt is demanding, representing the yin and yang of corporate finance.

Risks and Rewards: Significant debt in LBOs attracts sponsors with the promise of owning a firm or division, potentially improving performance, cutting costs, and disposing of unneeded assets. However, inability to manage these can jeopardize the venture due to fixed financial costs.

How Is Value Created? Value in an LBO arises from operational improvements, cash from operations paying down debt, and a tax shield from interest on debt.

What Makes a Good LBO Candidate? A strong LBO candidate has a good management team, consistent cash flows, adaptability to sell unneeded assets, low capital expenditure needs, and an easy exit option.

LBO of Tetley: The acquisition of Tetley Tea by Tata Tea, announced in February 2000 and finalized on March 10th, 2000, is a notable LBO example.

Acquisition Financing: India's business sector has been active in global acquisitions, with notable examples including Dr. Reddy's Laboratories' $570 million purchase of Betapharm, Suzlon Energy's $565 million acquisition of Hansen Transmission, Tata Steel's $12.9 billion buyout of Corus, Hindalco's $6 billion acquisition of Novelis, and Bharti Airtel's $10.7 billion purchase of Zain's African assets. These transactions were supported by specialized banking teams from Citibank, Deutsche Bank, Standard Chartered, and ICICI Bank.

Key Characteristics of Acquisition Financing:

(a) Loans are received by an overseas subsidiary or special purpose entity, guaranteed by the Indian parent company, with international and overseas Indian bank branches providing financing.

(b) Loan issuance depends on the acquirer's cash flow, assessed by three to six times EBITDA, considering product quality, management, regulatory environment, and cash flow viability.

Five Sins of Acquisitions: Acquisitions often fail due to five key issues:

(a) Getting Way Too Far Away From It All: Expanding into diverse, exotic regions can strain management and reduce efficiency.

(b) Striving for Greatness: Organizations focusing on size may make rash acquisition decisions, risking overextension.

(c) Plunging without Thinking: Inadequate research on the seller's company can lead to overvaluing intangibles or ignoring financial risks.

(d) Overpaying: In competitive bidding, inexperienced bidders may overpay, leading to the "winner's curse."

(e) Inability to Integrate Well: Poor integration of acquired entities can render strategies ineffective, making successful completion challenging.

17.14 HOLDING COMPANY

A holding company is a corporation that owns the equity of multiple other companies in order to exert influence over those companies. A holding company does not necessarily have to own one hundred percent of the investee business's equity. In many cases, it is possible for it to exercise effective working control over the activities of another firm with an ownership stake that is as little as 25 percent (or even sometimes lower than this), provided that it is able to manage its relationship with the other shareholders.

The following are some of the other benefits that come with running a holding company:

1. Central control
2. Flexibility for growth
3. Continuity and succession planning
4. Tax planning
5. Risk mitigation
6. Legal protection for valuable assets of the group
7. Optimum utilisation of funds

UNIT 18

DEAL STRUCTURING AND FINANCIAL STRATEGIES

STRUCTURE

Introduction to Deal Structuring

Definition: Deal structuring outlines how value is generated for all parties in an M&A transaction and defines their respective rights and responsibilities.

- **Key Elements**:
  - Balancing immediate and long-term risks.
  - Interconnection between deal structure and financing.
  - Risk management and addressing future uncertainties.
  - Consideration of tax implications, financing methods, and legislative impacts.
  - Leveraged buyouts (LBOs) and financial modeling play a crucial role.

Negotiations

- **Process**:
  - Begins after selecting a target and performing initial financial analyses.
  - Focus on risk distribution and meeting the objectives of both acquirer and target.
  - The deal structure should clearly define rights and responsibilities while maintaining an acceptable risk level.
- **Challenges**:
  - Multiple parties, approvals, payment methods, and financing sources.
  - Interdependencies within transaction elements, akin to a water balloon analogy (shifting risk).

Payment and Legal Considerations

- **Payment Methods**:
  - ✓ Cash, common stock, debt, or a combination.
  - ✓ Payouts may be lump-sum, performance-based, or installment.
- **Form of Acquisition**:
  - ✓ Stock vs. asset purchases.
  - ✓ Ownership transfer mechanisms.

Form of Acquisition Vehicle and Post-closing Organization

- **Factors to Consider**:
  - ✓ Cost and formality.
  - ✓ Ownership transfer ease.
  - ✓ Organizational continuity.
  - ✓ Management control.
  - ✓ Financial support accessibility.
  - ✓ Integration ease.
  - ✓ Earnings distribution.
  - ✓ Individual responsibility.
  - ✓ Taxation implications.

18.3 PAYMENT AND LEGAL CONSIDERATIONS

The overall consideration, which can come in the form of cash, common stock, or debt, or even a combination of all three of these things, can be considered the method of payment. The pay-out might be a one-time lump sum, it could be tied to how well the target does in the future, or it could be paid out over an extended period of time. Both the nature of the thing being bought (whether it be stock or assets) and the manner in which ownership is transferred are reflected in the form of acquisition.

18.3.1 Form of Acquisition Vehicle and Postclosing Organisation

When deciding on an acquisition vehicle or post-closing organisation, it is necessary to take into consideration the elements listed below:

(a) The cost and level of formality involved in the organisation
(b) The ease with which ownership can be transferred
(c) The continuous existence of the organisation
(d) Management control
(e) The convenience of obtaining financial support
(f) Ease of assimilation into the system
(g) The manner in which earnings shall be distributed
(h) The scope of individual responsibility
(i) Taxation.

The buyer must consider a variety of factors, including risk, financing, taxation, and control, depending on the form of the legal entity being used. If we choose the right organisation, we may be able to lessen the impact of potential risks, increase the scope of available financing options, and reduce the total amount that will be spent on the acquisition.

18.3.2 Selecting the Appropriate Acquisition Vehicle

The corporate structure that is most frequently utilised, is the acquisition vehicle, because it provides the majority of the attributes that buyers want, such as limited liability, flexible financing, continuity of ownership, and transaction flexibility (e.g., option to engage in a tax-free deal). An ESOP structure may be an easy way for small privately held businesses to transfer the owner's equity in the company to the employees while providing significant tax benefits.

Selecting the Appropriate Acquisition Vehicle

Popular Choice: Corporate structures for flexibility, liability limitation, and tax benefits.

Special Cases: ESOPs for small businesses to transfer ownership to employees with tax advantages

Selecting Suitable Post-closing Organization

Options:

- Divisional structure for direct integration and control.
- Holding company for liability insulation, tax benefits, and cultural flexibility.
- Joint ventures or partnerships for shared risk, specialized expertise, and tax efficiency.

Key Considerations:

- Aligning post-closing structure with integration goals.
- Minimizing liabilities and cultural disruptions.
- Using holding companies to isolate risks or ensure tax-free transactions.

18.3.3 Selecting Suitable Post-closing Organisation

It is possible for the post-closing organisation to be identical to the one selected for the acquisition vehicle. Structures such as divisional and holding company arrangements are frequently used after a closing. Although holding companies are usually corporations, they are also characterised by a distinctive organisational and management style within the company. The goals that the acquirer hopes to accomplish should guide the selection of the post-closing organisation. The acquiring company may opt for a structure that makes post-closing integration easier, reduces the risk of the target's known and unknown liabilities, minimises taxes, passes through losses to shelter the owners' tax liabilities, maintains target independence throughout the duration of an earn-out, preserves unique target characteristics, or maintains the tax-free status of the deal.

Because it allows for the greatest amount of control, the corporate or divisional structure is frequently chosen when the acquirer plans to immediately integrate the target after the transaction has been finalised. Because of the distributed ownership in joint ventures and partnerships, decision making may be slowed down or made more controversial. It is more likely that implementation will depend on tight cooperation and creating consensus, both of which may slow down efforts at speedy integration of the company that was bought. It is possible that realising synergies will take longer than it would if managerial control were centred more within the parent company.

When the target company has large liabilities, an earn-out is required, the target company is a foreign corporation, or the acquirer is a financial investor, a holding company structure may be preferable as the acquisition vehicle. It is possible that the parent will be able to isolate specific obligations that exist within the subsidiary, and then the parent will be able to push the subsidiary into bankruptcy without putting the parent in jeopardy. It may be possible to reduce the amount of disruption caused by cultural differences by running the target company in a manner that is distinct from the rest of the acquirer's operations when the target company is an international business. In conclusion, a financial buyer can choose a holding company structure because the buyer has no intention of really running the target company for any significant amount of time after the acquisition. If the value of the tax benefits is large and the risk is high, a partnership or joint venture form can be the best option. Everyone contributes to the whole cost of achieving the goal. The acquired company can stand to benefit from the various partners' or owners' access to specialised knowledge and experience. The current operational losses, tax credits, and loss carry forwards and carry backs are all passed on to the owners when a business is structured as a partnership or an LLP. This also prevents the possibility of double taxation.

18.4 TAX AND ACCOUNTING CONSIDERATIONS

Accounting concerns address the influence on future earnings of the combined firms that will be caused by the requirements for financial reporting. Tax considerations involve the establishment of tax structures to ascertain whether or not a transaction will result in taxable income for the shareholders of the selling company. The tax ramifications of the selling entity's legal structure should not be ignored.

The core economics of the sale should always be the decisive factor, with any tax benefits serving to reinforce a purchasing decision. Although taxes are a significant consideration, this aspect should never override the core economic aspects. The influence of accounting concerns on the structure of a deal can be more subtle at times, but it nonetheless poses a threat to the profitability of the acquirer both now and in the future.

18.4.1 Alternative Tax Structures

In case of acquisition, tax implications are typically less crucial for the buyer than they are for the seller. Buyers are primarily concerned with assessing the basis of the assets they are acquiring and avoiding accountability for any tax issues that may exist with the target organisation. The tax basis is the level at which an asset can be depreciated and also determines the future taxable gains that will be realised by the buyer in the event that such assets are sold in the future. On the other hand, the seller is typically worried about how the transaction might be structured to postpone the payment of any taxes that are owed.

18.4.2 Taxable Transactions

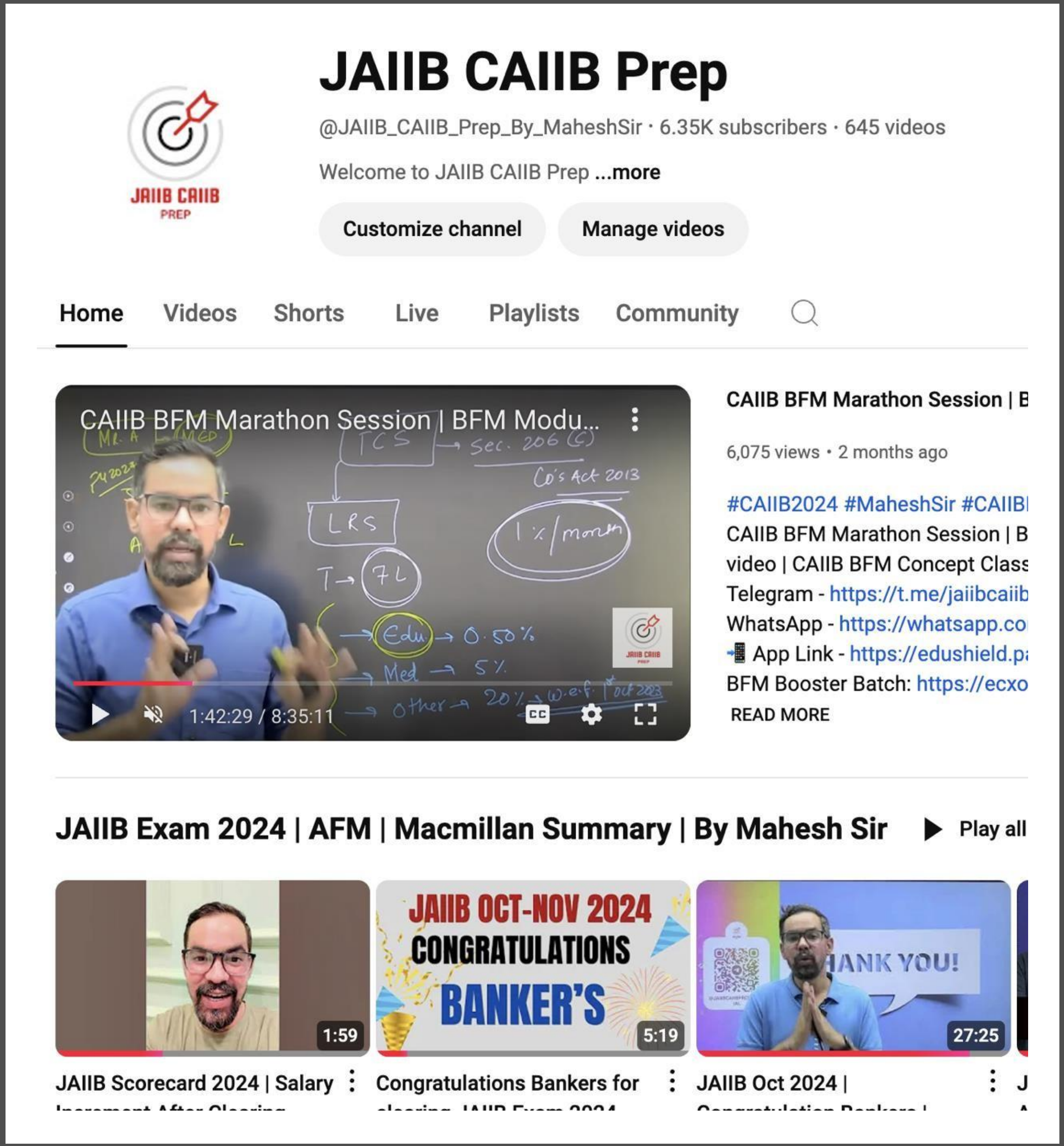
A transaction is considered taxable to the shareholders of the target company if it involves the majority of the consideration being in the form of cash, debt, or something other than equity. A cash purchase of target assets, a cash purchase of target shares, or a statutory cash merger or consolidation, are all examples of transactions that are subject to taxation. Statutory cash mergers and consolidations most typically include direct cash mergers as well as triangular forward and reverse cash mergers.

18.4.3 Taxable Mergers

In a direct statutory cash merger (i.e., the form of payment is cash), the acquirer and target boards come to a negotiated settlement, and both firms, with certain exceptions, are required to receive approval from their respective shareholders. In a direct statutory stock merger (i.e., the form of payment is stock), the acquirer and target boards reach a negotiated settlement, and either the target is merged into the acquirer or the acquirer is merged into the target, and at that point, only one of them is left standing. All assets and liabilities, both on and off the balance sheet, are immediately transferred to the company that is left standing. The use of so-called triangular mergers is a common tactic adopted by acquirers who wish to shield themselves from the liabilities of their targets. In these types of transactions, the target company is

MODULE – C

VALUATION, MERGERS & ACQUISITIONS



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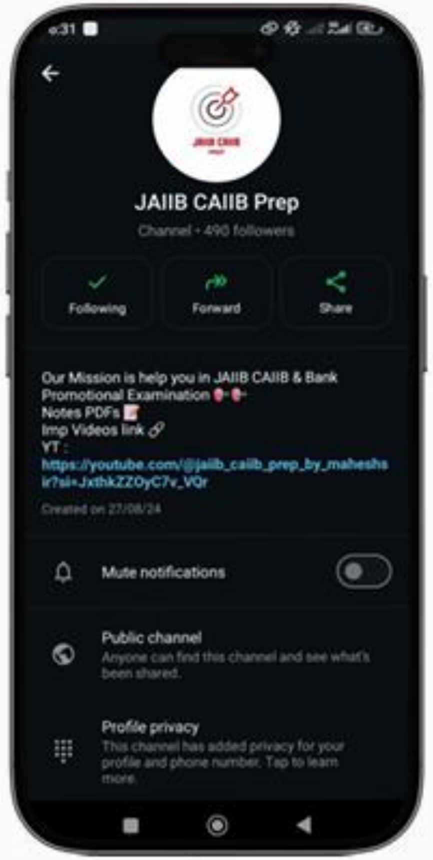

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